

Tenet: Profit Margins

Six months after the Washington Post Company went public, Katharine Graham met with Wall Street security analysts. The first order of business, she told them, was to maximize profit for the company's existing operations. Profits continued to rise at the television stations and *Newsweek*, but profitability at the newspaper was leveling off. Much of the reason, said Mrs. Graham, was high production costs, namely wages. After the *Post* purchased the *Times-Herald*, profits had surged. Each time the unions struck the paper (1949, 1958, 1966, 1968, 1969), management had opted to pay their demands rather than risk a shutdown of the paper. During this time, Washington, DC, was still a three-newspaper town. Throughout the 1950s and 1960s, increasing wage costs dampened profits. This problem, Mrs. Graham told the analysts, was going to be solved.

As union contracts began to expire in the 1970s, Mrs. Graham enlisted labor negotiators who took a hard line with the unions. In 1974, the company defeated a strike by the Newspaper Guild and, after lengthy negotiations, the printers settled on a new contract. Mrs. Graham's firm stance came to a head during the pressmen's strike in 1975. The strike was violent and bitter. The pressmen lost sympathy when they vandalized the pressroom before striking. Management worked the presses; members of the Guild and the printers' union crossed the picket lines. After four months, Mrs. Graham announced that the paper was hiring nonunion pressmen. The company had won.

In the early 1970s, the financial press wrote that "the best that could be said about The Washington Post Company's performance was it rated a gentleman's C in profitability."⁵ Pretax margins in 1973 were 10.8 percent—well below the company's historical 15 percent margins earned in the 1960s. After successfully renegotiating the union contracts, the *Post*'s fortunes improved. By 1988, pretax margin reached a high of 31.8 percent, which compared favorably to its newspapers group average of 16.9 percent and the S&P Industrials average of 8.6 percent.

Tenet: Rationality